



Interim Financial Statements
Period Ended 30 September 2018

AMBEON CAPITAL PLC AND ITS SUBSIDIARIES
STATEMENT OF PROFIT OR LOSS

For the Quarter Ended 30th September,	GROUP			COMPANY		
	2018	2017	% Change	2018	2017	% Change
	LKR	LKR		LKR	LKR	
Continuing Operations						
Revenue	4,713,634,784	2,851,224,571	65%	(25,433,261)	79,562,443	-132%
Direct Cost	(3,776,816,658)	(2,316,571,560)	63%	-	-	-
Gross Profit	936,818,126	534,653,010	75%	(25,433,261)	79,562,443	-132%
Investment and Other Income	37,599,850	34,756,827	8%	364,807,725	6,108,392	5872%
Selling and Distribution Expenses	(176,332,784)	(87,798,486)	101%	-	-	-
Administrative Expenses	(711,924,871)	(312,808,778)	128%	(12,740,466)	(12,256,836)	4%
Change in Fair Value of Financial Assets Held for Trading	(127,979,652)	(89,169,894)	44%	363,583	(8,119,769)	-104%
Finance Cost	(252,428,102)	(197,597,279)	28%	(117,818,540)	(143,419,985)	-18%
Share of Loss From Associate	-	-	-	-	-	-
Profit/(Loss) Before Income Tax from Continuing Operations	(294,247,432)	(117,964,599)	149%	209,179,041	(78,125,755)	-368%
Income Tax Expense	(52,312,355)	(26,197,695)	100%	-	-	-
Profit/(Loss) for the Period from Continuing Operations	(346,559,787)	(144,162,295)	140%	209,179,041	(78,125,755)	-368%
Discontinued Operations						
Profit/(Loss) after tax for the period from discontinued operations	0	(1,148,579)	-100%	-	-	-
Profit/(Loss) for the period	(346,559,787)	(145,310,874)	138%	209,179,041	(78,125,755)	-368%
Profit Attributable to:						
Equity Holders of the Company	(323,527,101)	(132,583,496)	-	209,179,041	(78,125,755)	-
Non - Controlling Interests	(23,032,686)	(12,727,377)	-	-	-	-
	(346,559,787)	(145,310,874)	-	209,179,041	(78,125,755)	-
Basic Earnings / (Deficit) Per Share	(0.32)	(0.13)		0.21	(0.08)	

The Notes form an integral part of these Financial Statements
Figures in bracket indicate deductions

AMBEON CAPITAL PLC AND ITS SUBSIDIARIES
STATEMENT OF OTHER COMPREHENSIVE INCOME

	GROUP		COMPANY	
For the Quarter Ended 30th September,	2018 LKR	2017 LKR	2018 LKR	2017 LKR
Profit/ (Loss) for the Period	(346,559,787)	(145,310,874)	209,179,041	(78,125,755)
Other Comprehensive Income				
Items that will never be reclassified to profit or loss				
Defined Benefit Obligations Actuarial Gain / (Loss)	-	-	-	-
Related Tax	-	-	-	-
	-	-	-	-
Items that are or may be reclassified to profit or loss				
Revaluation Gain of Land and Bulding	112,185,000	-	-	-
Tax on Revaluation Gain	(31,411,800)	-	-	-
Change in Fair Value - AFS Investments	-	-	-	-
Currency Translation of Foreign Operation	-	-	-	-
Currency Translation of Foreign Operation reserve reclassified to profit or loss	-	-	-	-
	80,773,200	-	-	-
Total Other Comprehensive Income	80,773,200	-	-	-
Total Comprehensive Income for the Period	(265,786,587)	(145,310,874)	209,179,041	(78,125,755)
Total Comprehensive Income Attributable to:				
Equity Holders of the Company	(257,819,258)	(132,583,496)	209,179,041	(78,125,755)
Non - Controlling Interests	(7,967,329)	(12,727,377)	-	-
	(265,786,587)	(145,310,874)	209,179,041	(78,125,755)

AMBEON CAPITAL PLC AND ITS SUBSIDIARIES
STATEMENT OF PROFIT OR LOSS

For the Period Ended 30th September,	GROUP			COMPANY		
	2018	2017	% Change	2018	2017	% Change
	LKR	LKR		LKR	LKR	
Continuing Operations						
Revenue	8,009,052,503	5,307,792,638	51%	(4,986,970)	161,935,116	-103%
Direct Cost	(6,285,494,672)	(4,351,841,838)	44%	-	-	-
Gross Profit	1,723,557,831	955,950,800	80%	(4,986,970)	161,935,116	-103%
Investment and Other Income	42,889,750	38,962,632	10%	364,882,725	3,152,911	11473%
Selling and Distribution Expenses	(326,074,112)	(199,477,525)	63%	-	-	-
Administrative Expenses	(1,321,874,679)	(630,797,738)	110%	(20,802,951)	(36,107,478)	-42%
Change in Fair Value of Financial Assets Held for Trading	(233,610,188)	302,197,938	-177%	(628,500)	(2,359,119)	-73%
Finance Cost	(444,977,811)	(395,947,141)	12%	(229,864,751)	(288,711,572)	-20%
Share of Loss From Associate	-	-				
Profit/(Loss) Before Income Tax from Continuing Operations	(560,089,208)	70,888,966	-890%	108,599,553	(162,090,142)	-
Income Tax Expense	(101,660,179)	(55,325,723)	84%	-	-	-
Profit/(Loss) for the Period from Continuing Operations	(661,749,387)	15,563,243	-4352%	108,599,553	(162,090,142)	
Discontinued Operations						
Profit/(Loss) after tax for the period from discontinued operations	(680,666)	(1,754,439)	-61%	-	-	-
Profit/(Loss) for the period	(662,430,053)	13,808,804	-4897%	108,599,553	(162,090,142)	-
Profit Attributable to:						
Equity Holders of the Company	(635,021,146)	(11,801,135)		108,599,553	(162,090,142)	
Non - Controlling Interests	(27,408,907)	25,609,939		-	-	
	(662,430,053)	13,808,804		108,599,553	(162,090,142)	-
Basic Earnings / (Deficit) Per Share	(0.63)	(0.01)		0.11	(0.16)	

The Notes form an integral part of these Financial Statements
Figures in bracket indicate deductions

AMBEON CAPITAL PLC AND ITS SUBSIDIARIES
STATEMENT OF OTHER COMPREHENSIVE INCOME

	GROUP		COMPANY	
For the Period Ended 30th September,	2018	2017	2018	2017
	LKR	LKR	LKR	LKR
Profit/ (Loss) for the Period	(662,430,053)	13,808,804	108,599,553	(162,090,142)
Other Comprehensive Income				
Items that will never be reclassified to profit or loss				
Defined Benefit Obligations Actuarial Gain / (Loss)	-	-	-	-
Related Tax	-	-	-	-
	-	-	-	-
Items that are or may be reclassified to profit or loss				
Revaluation Gain of Land and Building	112,185,000	-	-	-
Tax on Revaluation Gain	(31,411,800)	-	-	-
Currency Translation of Foreign Operation	-	-	-	-
Currency Translation of Foreign Operation reserve reclassified to profit or loss	-	-	-	-
	80,773,200	-	-	-
Total Other Comprehensive Income	80,773,200	-	-	-
Total Comprehensive Income for the Period	(581,656,853)	13,808,804	108,599,553	(162,090,142)
Total Comprehensive Income Attributable to:				
Equity Holders of the Company	(569,313,303)	(11,801,135)	108,599,553	(162,090,142)
Non - Controlling Interests	(12,343,550)	25,609,939	-	-
	(581,656,853)	13,808,804	108,599,553	(162,090,142)

AMBEON CAPITAL PLC AND ITS SUBSIDIARIES
STATEMENT OF FINANCIAL POSITION

As at,	GROUP		COMPANY	
	30-Sep-18	31-Mar-18	30-Sep-18	31-Mar-18
	LKR	Audited LKR	LKR	Audited LKR
ASSETS				
Non-Current Assets				
Property, Plant & Equipment	4,575,504,928	5,474,938,163	19,051,485	446,108
Intangible Assets	842,240,765	845,866,849	-	-
Biological Assets	48,281,950	48,281,950	-	-
Investment Property	2,774,848,266	1,688,188,153	29,000,000	29,000,000
Investment in Subsidiaries	-	-	5,149,202,175	5,149,202,175
Other Financial Assets	27,161,796	25,234,242	-	-
Deferred Tax Asset	274,360,730	274,360,132	18,270,536	18,270,536
	8,542,398,435	8,356,869,490	5,215,524,196	5,196,918,819
Current Assets				
Inventories	3,860,075,159	3,758,051,548	-	-
Other Financial Assets	1,500,429,815	2,409,055,751	48,426,964	757,790,605
Trade & Other Receivables	4,218,474,893	4,009,655,688	109,642,370	104,765,555
Income Tax Recoverable	16,636,483	16,476,850	-	-
Cash & Cash Equivalents	915,935,668	1,999,187,137	686,181	372,368
	10,511,552,018	12,192,426,975	158,755,516	862,928,527
Total Assets	19,053,950,453	20,549,296,465	5,374,279,712	6,059,847,346
EQUITY AND LIABILITIES				
Equity				
Stated Capital	1,053,643,405	1,053,643,405	1,053,643,405	1,053,643,405
Foreign Currency Translation Reserve	(435,509)	(435,509)	-	-
Retained Earnings	993,026,003	2,140,513,433	781,027,907	1,033,409,287
Revaluation Reserves	922,425,435	856,717,592	-	-
Amalgamation Reserve	-	-	258,920,263	258,920,263
Equity Attributable to Equity Holders of the Company	2,968,659,333	4,050,438,921	2,093,591,575	2,345,972,955
Non Controlling Interests	2,727,826,141	2,428,238,516	-	-
Total Equity	5,696,485,474	6,478,677,437	2,093,591,575	2,345,972,955
Non-Current Liabilities				
Other Financial Liabilities	32,935,638	32,935,638	32,038,552	32,038,552
Interest Bearing Loans & Borrowings	3,771,361,155	1,562,021,994	3,147,625,917	-
Retirement Benefit Obligations	426,248,250	410,048,970	-	4,615,058
Deferred Tax Liability	658,971,751	620,479,220	-	-
	4,889,516,793	2,625,485,822	3,179,664,469	36,653,610
Current Liabilities				
Trade and Other Payables	3,224,338,831	3,292,344,120	30,177,150	31,460,607
Income Tax Payable	242,657,263	177,629,824	-	-
Deferred Income	857,317,019	748,150,496	-	-
Interest Bearing Loans & Borrowings	4,143,635,073	7,227,008,766	70,846,518	3,645,760,174
	8,467,948,186	11,445,133,206	101,023,668	3,677,220,781
Total Equity and Liabilities	19,053,950,453	20,549,296,465	5,374,279,712	6,059,847,346
Net Assets Per Share (Rs.)	2.96	4.04	2.09	2.34

The notes form an integral part of these financial statements.
Figures in brackets indicate deductions

I certify that the Financial Statements have been prepared in compliance with the requirements of Companies Act No. 07 of 2007.

Sgd.
Haritha C Perera
Chief Financial Officer

The Directors are responsible for the preparation and presentation of these Financial Statements. Signed for and on behalf of the Board.

Sgd.
Ajith Devasurendra
Deputy Chairman

Sgd.
Murali Prakash
Group Managing Director/ CEO

12th November 2018
Colombo

AMBEON CAPITAL PLC AND ITS SUBSIDIARIES
STATEMENT OF CHANGES IN EQUITY

GROUP	Attributable to Equity Holders of the Company					Non Controlling Interests	Total Equity
	Stated Capital	Revaluation Reserve	Foreign Currency Translation Reserve	Retained Earnings	Total		
	Rs.			Rs.	Rs.	Rs.	Rs.
Balance as at 31 March 2017	1,053,643,405	445,801,569	(394,994)	2,016,509,172	3,515,559,152	2,069,496,197	5,585,055,349
Profit / (Loss) for the period				(11,801,135)	(11,801,135)	25,609,939	13,808,804
Other Comprehensive Income		-	-	-	-	-	-
	-	-	-	(11,801,135)	(11,801,135)	25,609,939	13,808,804
Balance as at 30 September 2017	1,053,643,405	445,801,569	(394,994)	2,004,708,037	3,503,758,017	2,095,106,136	5,598,864,153
Profit / (Loss) for the period				163,342,359	163,342,359	205,145,636	368,487,995
Other Comprehensive Income		410,916,023	(40,515)	(16,559,677)	394,315,831	130,184,490	524,500,321
Transactions with owners of the Company							
Contributions and Distributions							
Subsidiary Dividend Paid to Minority Share Holders				-	-	(12,248,532)	(12,248,532)
Total Contributions and Distributions	-	-	-	-	-	(12,248,532)	(12,248,532)
Holding Change through common control	-	-	-	(10,977,286)	(10,977,286)	10,050,786	(926,500)
Total changes in ownership interest	-	-	-	(10,977,286)	(10,977,286)	10,050,786	(926,500)
Total Transactions with owners of the Company	-	-	-	(10,977,286)	(10,977,286)	(2,197,746)	(13,175,032)
Balance as at 31 March 2018	1,053,643,405	856,717,592	(435,509)	2,140,513,433	4,050,438,921	2,428,238,516	6,478,677,437
Profit / (Loss) for the period				(635,021,146)	(635,021,146)	(27,408,907)	(662,430,053)
Other Comprehensive Income		65,707,843	-	0.00	65,707,843	15,065,357	80,773,200
Dividend Paid				(360,980,933)	(360,980,933)	(82,840,362)	(443,821,295)
Holding Change				(151,485,351)	(151,485,351)	394,771,537	243,286,186
Balance as at 30 September 2018	1,053,643,405	922,425,435	(435,509)	993,026,003	2,968,659,333	2,727,826,141	5,696,485,474

COMPANY	Stated Capital	Amalgamation Reserve	Retained Earnings	Total Equity
	Rs.	Rs.	Rs.	Rs.
Balance as at 31st March 2017	1,053,643,405		602,698,453	1,656,341,858
Profit / (Loss) for the period		-	(162,090,142)	(162,090,142)
Balance as at 30 September 2017	1,053,643,405	-	440,608,311	1,494,251,716
Profit for the period		-	592,682,925	592,682,925
Other Comprehensive Income		-	118,053	118,053
Net Result to the Equity on Amalgamation		258,920,263	-	258,920,263
Total Comprehensive Income for the period		258,920,263	592,800,978	851,721,241
Balance as at 31st March 2018	1,053,643,405	258,920,263	1,033,409,289	2,345,972,957
Profit / (Loss) for the period	-	-	108,599,553	108,599,553
Dividend Paid			(360,980,935)	(360,980,935)
Balance as at 30 September 2018	1,053,643,405	258,920,263	781,027,907	2,093,591,575

AMBEON CAPITAL PLC AND ITS SUBSIDIARIES
CASH FLOW STATEMENT

	CONSOLIDATED		COMPANY	
	2018	2017	2018	2017
<i>For the period Ended 30th September,</i>	Rs.	Rs.	Rs.	Rs.
Cash flows From Operating Activities				
Profit before Taxation	(560,089,208)	70,888,966	108,599,553	(162,090,142)
Profit/(Loss) before tax from discontinued operations	(680,666)	(1,754,439)	-	-
Adjustment for				
Depreciation, amortization and impairment charges	205,362,487	174,255,101	1,394,622	144,463
Amortisation of Intangible Assets	4,413,769	-	-	-
Change in Fair Value of Financial Assets Held for Trading	226,590,904	(261,277,676)	-	2,359,119
Provision for Retirement Gratuity	58,894,728	31,622,291	-	-
Script Dividend Income	-	(4,678,110)	-	-
Interest Income	-	(15,021,726)	-	-
Interest Expense	444,977,811	189,050,339	-	-
Dividend Income	-	(694)	-	(3,422,089)
(Gain)/Loss on disposal of Property, Plant & Equipment	(4,707,232)	(3,355,591)	-	-
Impairment of trade and other receivables	-	96,312	-	-
Deferred income	-	(176,245)	-	-
Profit on Disposal Of Current Investment	(1,256,049)	(5,407,073)	-	5,644,023
Operating Profit before Working Capital Changes	373,506,543	174,241,455	109,994,175	(157,364,626)
(Increase)/Decrease in Inventories	(102,023,611)	(578,735,781)	-	-
(Increase)/Decrease in Trade & Other Receivables	(208,819,204)	(195,038,122)	(4,876,815)	(2,118,945)
Increase/(decrease) in Deferred income	109,166,523	-	-	-
Increase/(Decrease) in Trade & Other Payable	(68,005,289)	579,672,917	(1,283,457)	144,388,206
Cash Generated from Operations	103,824,961	(19,859,531)	103,833,904	(15,095,365)
Interest Paid	(384,443,590)	(190,298,930)	-	-
Income Tax Paid	(29,711,846)	(69,097,979)	-	-
Retiring Gratuity Paid	(42,695,450)	(18,131,261)	(4,615,058)	-
Net Cash Flow from Operating Activities	(353,025,924)	(297,387,701)	99,218,846	(15,095,365)
Cash Flow from Investing Activities				
Net Proceeds from Government Securities	709,363,640	(853,793,087)	709,363,640	(869,040,373)
Acquisition of Property, Plant & Equipment	(279,773,778)	(66,717,032)	(20,000,000)	(13,500)
Purchase of Intangible Assets	(787,684)	(3,762,689)	-	-
Investments in Investment Property	(894,088)	(3,880,095)	-	-
Investment In Other Financial Assets	(381,938,417)	(15,023,943)	-	-
Dividend Received	-	694	-	3,422,089
Proceeds from disposal of Assets Held for sales	-	-	-	-
Proceeds on Disposal of Property, Plant & Equipment	4,970,733	7,452,467	-	-
Proceeds from sale of Investments	61,749,214	590,018,738	-	-
Related Party - Loans Granted	-	-	-	-
Additions to Assets Held for sale	-	-	-	-
Redemption of Preference Shares	-	-	-	-
Interest Income Received	-	11,545,701	-	-
Net Cash Flow Used in Investing Activities	112,689,620	(334,159,246)	689,363,640	(865,631,784)
Cash Flow from Financing Activities				
Loan Received	44,377,158,195	1,796,217,863	89,363,417,658	764,025,419
OD conversion to Long Term Loan	-	-	-	-
Direct Cost on Share Issue	-	-	-	-
Repayments of Loans	(43,105,486,779)	(22,838,248)	(87,803,494,175)	(768,079)
Related Party - Loans Obtained	-	-	-	-
Proceed from Share Disposal	111,286,186	-	-	-
Acquisition by Non Controlling Interest	132,000,000	-	-	-
Dividend Paid	(443,821,295)	-	(360,980,933)	-
Net Cash Flow from Financing Activities	1,071,136,307	1,773,379,615	1,198,942,550	763,257,340
Net Increase/Decrease in Cash & Cash Equivalent during the period	830,800,004	1,141,832,668	1,987,525,036	(117,469,809)
Cash & Cash Equivalents				
Net movement during the period	830,800,004	1,141,832,668	1,987,525,036	(117,469,809)
At the beginning of the period	(761,812,454)	(1,841,169,709)	(2,009,722,836)	(1,866,578,857)
At the end of the year (Note A)	68,987,550	(699,337,041)	(22,197,800)	(1,984,048,666)
Note A-Cash and Equivalents are as follows				
Cash in Hand & Bank	915,935,668	1,555,431,360	686,181	85,448
Bank & Other Borrowings	(846,948,119)	(2,254,768,401)	(22,883,981)	(1,984,134,114)
	68,987,550	(699,337,041)	(22,197,800)	(1,984,048,666)

1 Corporate Information

The Company was incorporated in Sri Lanka on 20th September 2006 as a public limited liability company and re-registered under the Company's Act No 7 of 2007 on 3rd August 2009. On 17th May 2012 the company was successfully listed on the Diri Savi Board of Colombo Stock Exchange and subsequently changed its name to Taprobane Holdings PLC on 13th July 2012 and as Ambeon Capital PLC on 10th May 2018.

The Interim Financial Statements of the Group and the Company for the three months ended 30th September 2018 were authorised for issue by the Board of Directors on 12th November 2018.

2 Basis of Preparation

The Institute of Chartered Accountants of Sri Lanka has issued a new volume of Sri Lanka Accounting Standards which became applicable for financial periods beginning on or after 1st January 2012. The Consolidated Financial Statements of the Group and the Financial Statements of the company which comprise the Statement of Financial Position, Statement of Comprehensive Income, Statement of Changes in Equity, Statement of Cash Flows and Notes thereto have been prepared in accordance with these Sri Lanka Accounting Standards (SLFRSs and LKASs) laid down by the Institute of Chartered Accountants of Sri Lanka.

SLFRS 15

SLFRS 15 establishes a five-step model to account for revenue arising from contracts with customers. Under SLFRS 15, revenue is recognized at an amount that reflects the consideration to which an entity expects to be entitled in exchange for transferring goods or services to a customer. The new revenue standard will supersede all current revenue recognition requirements under SLFRS.

SLFRS 09

SLFRS 9 brings together all three aspects of the accounting for financial instruments project: classification and measurement, impairment and hedge accounting. SLFRS 9 is effective for annual periods beginning on or after 1 January 2018. However, paragraph 7.2.16 of SLFRS 9 permits an entity not to apply the requirements of this Standard to interim periods prior to the date of initial application, if it is impracticable.

Based on the "Statement of Alternative Treatment (SoAT) on the Figures in the Interim Financial Statements" issued by The Institute of Chartered Accountants of Sri Lanka entities are granted with the option to prepare Interim Financial Statements continuing the application of LKAS 39 with disclosures on impact to the Income Statement and Statement of Profit or Loss and Other Comprehensive Income for the period if SLFRS 9 has been applied. Accordingly, as permitted by the above SoAT, the Company has prepared the Interim Financial Statements for the quarter ended 30th September 2018 based on LKAS 39.

These interim consolidated financial statements should be read in conjunction with the annual financial statements for the year ended 31 March 2018. The Accounting policies are in line with the policies published in the annual financial statements for the year ended 31 March 2018.

3 Segment Information - Group

	CONSOLIDATED	
	2018/19	2017/18
	06 Months	06 Months
(a) Revenue		
Manufacturing Footwear	266,896,200	254,441,000
Manufacturing Porcelain	991,948,238	1,081,740,000
Manufacturing Textile	4,003,510,296	3,691,328,000
Investment	(16,878,469)	190,516,737
IT and related Services	2,690,318,870	-
Financial Services	57,430,901	69,016,542
Property	15,826,467	20,750,359
Revenue	8,009,052,503	5,307,792,638
Direct Expenses	(6,285,494,672)	(4,351,841,838)
Gross Profit	1,723,557,831	955,950,800
(b) Industry Segment Profit		
Manufacturing Footwear	(238,839,994)	(144,342,000)
Manufacturing Porcelain	43,964,064	34,389,000
Manufacturing Textile	942,670	128,067,000
Investment	(644,968,615)	10,974,786
IT and related Services	247,763,241	-
Financial Services	16,371,163	39,867,865
Property	14,678,264	1,932,315
Profit Before Income Tax	(560,089,208)	70,888,966
Income Tax Expense	(101,660,179)	(55,325,723)
Profit/(Loss) for the period from continuing operations	(661,749,387)	15,563,243
Discontinued operations	(680,666)	(1,754,439)
Profit/(Loss) for the Period	(662,430,053)	13,808,804
Other Comprehensive Income for the period (Net of Tax)	80,773,200	-
Total Comprehensive Income for the period	(581,656,853)	13,808,804

4 Stated Capital

Stated Capital is represented by number of shares in issue as given below:

	2018	2017
Ordinary Shares	1,002,724,815	1,002,724,815

5 Related Party Transactions

The nature of Related Party Transactions in the period under review is similar to those reported in the annual report for the year 2017/18.

6 Share Information

6.1 Market Price per Share

The market value of an ordinary share of Ambeon Capital PLC was as follows:

	30.09.2018	30.09.2017
Last traded price recorded for 3 months ended	4.70	5.60
Highest price recorded for 3 months ended	5.50	6.70
Lowest price recorded for 3 months ended	4.00	4.40

6.2 Public Share Holdings

The company is not in compliance with the Minimum Public Holding requirements for Companies listed on the Dir Savi Board as per Rule 7.13.1 (b) of the Listing Rules of the Colombo Stock Exchange, under Option 2, i.e Float-Adjusted Market Capitalization of less than Rs 1 Billion with 200 Public Shareholders and a Public Holding percentage of 10%.

The Company's Public Holding as at 30th September 2018

Float-Adjusted Market Capitalization	122,772,718.50
Number of Public shareholders	624
Percentage of ordinary shares held by the public	2.61%

6.3 Twenty Major Shareholders

		30.09.2018	
		Number of	(%)
		Shares	
1	CHC Investment (Pvt) Ltd	568,327,024	56.68%
2	Seylan Bank PLC/ARRC Capital (Pvt) Ltd	355,526,332	35.46%
3	Commercial Bank Ceylon PLC/ARRC Capital (Pvt) Ltd	51,190,106	5.11%
4	Seylan Bank Limited/Ruwan Prasanna Sugathadasa	18,227,706	1.82%
5	Mr. Sarinda Wasanth Unamboowe	915,700	0.09%
6	Ms. Fleur Annaleen Ann Mack	825,000	0.08%
7	Mr. Ranil Prasad Pathirana	500,000	0.05%
8	Hatton National Bank PLC/Sanka Ramoorthy Nadaraj Kumar	497,709	0.05%
9	Mr. Joseph Callistus Ethelred Alles	342,810	0.03%
10	Mrs. Shirani Sunila Silva	332,032	0.03%
11	Mrs. Banuri Kumari Vanya Wickramasinghe	267,500	0.03%
12	Seylan Bank PLC/Dr.Thirugnanasambandar Senthilvel	259,097	0.03%
13	Mr. Kangasu Chelvadurai Vignarajah	207,547	0.02%
14	Merchant Bank Of Sri Lanka & Finance PLC 01	195,000	0.02%
15	Pathirage Hemantha Devapriya Perera	170,000	0.02%
16	Mr. Ram Pritamdas/'593403092Vn','498112668Vn'	163,954	0.02%
17	Mr. Ravindra Erle Rambukwella	153,430	0.02%
18	Asha Financial Services Limited/Mr.C.N.Pakianathan	152,399	0.02%
19	MBSL/U.L.M. Nowfer	150,000	0.01%
20	Mr. Michael De Saram	140,000	0.01%
		998,543,346	99.58%

6.4 Director's and Chief Executive Officers Share Holding as at 30th September 2018

	Number of Shares
Mr. S.E. Gardiner	Nil
Mr. P. D. J. Fernando	Nil
Mr. A. L. Devasurendra	138
Mr. S.H. Amarasekera	Nil
Mr. R.P. Pathirana	500,000
Mr. S.W. Unamboowe	915,700
Mr. P.D. Rodrigo	Nil
Mr. N.M. Prakash	20,477
	1,436,315

7 Earnings per Share

The computation of the Basic Earnings per Ordinary Share has been done based on net profit attributable to ordinary shareholders for the year, divided by weighted average number of ordinary shares in issue as at the balance sheet date and calculated as follows.

	Group		Company	
	30/09/2018	30/09/2017	30/09/2018	30/09/2017
<u>Amounts used as the Numerator</u>				
Net Profit / (Loss) Attributable to Ordinary Shareholders	<u>(635,021,146)</u>	<u>(11,801,135)</u>	<u>108,599,553</u>	<u>(162,090,142)</u>
Weighted Average Number of Ordinary Shares in Issue (Nos.)	1,002,724,815	1,002,724,815	1,002,724,815	1,002,724,815
Basic Earnings per Ordinary Share (Rs.)	(0.63)	(0.01)	0.11	(0.16)

8 Comparative Information

The presentation and classification of the financial statements of the previous years have been amended, where relevant for better presentation and to be comparable with those of the current year.

9 Commitment and Contingencies

Ambeon Holdings PLC has provided corporate guarantee facilities to banks on behalf of its subsidiaries to obtain banking facilities. The details are as follows.

Name of the Company	Bank	Amount	Outstanding Balance as at 30th September
Royal Fernwood Porcelain Ltd	Peoples Bank	Rs. 65 Mn	Rs. 28.5 Mn
Millennium Information Technologies (Pvt) Limited	Seylan Bank	Rs. 2BN	Rs. 558 Mn

10 Transaction between parent and Non controlling interest

Millennium Information Technologies (Pvt) Limited (MIT) - Management buyout and capital reduction

As a part of MIT management buyout Ambeon Holdings PLC has disposed 20% holding to MIT management for the consideration of LKR 132Mn.

On 13 June 2018 MIT reduced its stated capital to LKR 415,849,344/ in accordance with the provisions of Section 59 of the Companies Act No. 07 of 2007. 296,307 shares held by Ambeon Holdings PLC be cancelled and that cash amounting to LKR. 125 Mn were returned to Ambeon Holdings PLC consequent to the Reduction of Stated Capital.

11 Reduction of Stated Capital and amendments to the Articles of Association. Ambeon Holdings PLC

On 17 May 2018, the Company reduced its Stated Capital to LKR 5,331,775,177/- in accordance with Section 59 of the Companies Act No 7 of 2007 without any change to the number of shares issued and made amendments to the Articles of Association Of the Company.

12 Disposal of investment in Millenium Information Technology (pvt) Ltd to Eontec (pvt) Ltd

On 31 August 2018 the company disposed the investment in Millenium Information Technology (pvt) Ltd to Eontec (pvt) Ltd through a share swap arrangement

Subsequent to this transaction :-

Eontec (pvt) Ltd holds 77.23% of Millenium Information Technology (pvt).

Ambeon Holdings PLC holds 78% of Eontec (pvt) Ltd .

Ambeon Holdings PLC direct holding of Millenium Information Technology (pvt) is 0.51%.

13 Transfer from Property Plant and Equipment to Investment Property - Ceylon Leather Proudct Limited

During the quater the company transferred Land and Building located at Mattakkuliya from Properly Plant and Equipment to Investment Property, at fair value amounting to LKR 1,085,766,025/-.

14 FAIR VALUE MEASUREMENT

GROUP

The Group uses the following hierarchy for determining and disclosing the fair value of assets and liabilities by valuation technique:

Level 1: Quoted (unadjusted) prices in active markets for identical assets or liabilities

Level 2: Other techniques for which all inputs that have a significant effect on the recorded fair value are observable, either directly or indirectly

Level 3: Techniques that use inputs that have a significant effect on the recorded fair value that are not based on observable market data

The Group held the following assets and liabilities carried at fair value in the statement of financial position:

Assets Measured at Fair Value

	Level 1		Level 2		Level 3	
	2018 LKR	2017 LKR	2018 LKR	2017 LKR	2018 LKR	2017 LKR
Investment Properties	-	-	-	-	2,774,848,266	1,688,188,153
Assets classified as Held for sale	-	-	-	945,748,000	-	-
Land	-	-	-	-	872,052,600	1,391,895,513
Buildings	-	-	-	-	973,010,113	959,178,294
Building on Leasehold Land	-	-	-	-	730,700,001	578,900,000
FVTPL - Financial Assets						
Financial assets held for trading:	1,500,429,815	2,409,055,751	-	-	-	-
	1,500,429,815	2,409,055,751	-	945,748,000	5,350,610,980	4,618,161,960

COMPANY	Level 1		Level 2		Level 3	
	2018 LKR	2017 LKR	2018 LKR	2017 LKR	2018 LKR	2017 LKR
Assets Measured at Fair Value						
FVTPL - Financial Assets						
Financial assets held for trading:	48,426,964	757,790,605	-	-	-	-
	48,426,964	757,790,605	-	-	-	-

Financial Assets and Liabilities measured or disclosed at Fair Value

The fair value of the financial assets and liabilities is included at the amount at which the instrument could be exchanged in a current transaction between willing parties, other than in a forced or liquidation sale.

The following methods and assumptions were used to estimate the fair values:

The fair values of the quoted equities are based on price quotations at the reporting date.

Long-term fixed-rate borrowings are evaluated by the Group based on interest rates.

Those assumptions for assets categorised as Level 3 has been described under respective note numbers.

During the reporting period ended 30 September 2018 and 31 March 2018, there were no transfers between Level 1 and Level 2 fair value measurements.

15 Events after the Balance Sheet date

No circumstances have arisen since the reporting date, which would require adjustment to or disclosure in the Financial Statements.

16 Interim figures are provisional and subject to an audit.

AMBEON CAPITAL PLC AND ITS SUBSIDIARIES

CORPORATE INFORMATION

Name of the Company

Ambeon Capital PLC

Legal Form

A Public Limited Liability Company

Quoted on the Colombo Stock Exchange on the 17th May 2012 and

Incorporated in Sri Lanka on 20th September 2006

Company Registration Number

PB 1090 PQ

Board of Directors

Mr. Sanjeev Edward Gardiner- Chairman

Mr. Ajith Lasantha Devasurendra - Deputy Chairman

Mr. Nadarajah Murallee Prakash - Group Managing Director/CEO

Mr. Priyantha Damian Joseph Fernando - Independent Non- Executive Director

Mr. Shiran Harsha Amarasekera - Non Independent Non- Executive Director

Mr. Ranil Prasad Pathirana- Non Independent Non - Executive Director

Mr. Sarinda Wasanth Unamboowe - Independent Non- Executive Director

Mr. Parakrama Devasiri Rodrigo - Independent Non- Executive Director

Secretaries

Managers & Secretaries (Pvt) Ltd

No. 08, Tickell Road ,

Colombo 08.

Business & Registered Office

No.10, Gotham Road,

Colombo 08

Telephone : 94 11 5328100

Fax : 94 11 5328109

Auditors

ERNST & YOUNG

Chartered Accountants,

No. 201, De Saram Place,

Colombo 10.

Bankers

Seylan Bank PLC - Millennium Branch

Pan Asia Banking Corporation PLC - Head Office

National Development Bank PLC - Head Office